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Economic Report

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Juli 2026

Macro Outlook in Brief

Global: Uncertainty Weighs on Growth

The recent escalation in the Iran conflict is driving uncertainty up again and is likely to weigh on the recovery of the business situation.

USA: Robust but Cautious Consumption

The labor market is surprisingly strong and consumption remains solid. If inflation remains persistent, interest rate increases could weaken consumption and dampen growth.

Eurozone: Headwinds from Energy Prices and Interest Rates

Rising oil and gas prices as well as higher key interest rates weigh on credit demand and the economy.

China: Policy Supports a Weak Domestic Economy

Expansionary monetary and fiscal policies stabilize the economy, but weak domestic demand and geopolitical risks slow growth.



Erholung in Abseits?



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REALWIRTSCHAFT



Growth



USA and Eurozone: Short-Lived Recovery?

In May, the business situation in the US remained positive, while it clouded over further in the Eurozone. The Purchasing Managers' Index (PMI) measures the current business situation and companies' short-term expectations. It is above 50 if more companies report an improvement than a deterioration. In the Eurozone, the PMI fell to 48.5, as the services sector PMI in particular fell sharply. In the US, it fell slightly to 51.5, while the renewed blockade clouds the outlook again.

Weak Services Sector

The services sector in the Eurozone **recovered slightly in June**. The services PMI **rose** to **49.4**, but remains in contractionary territory. The manufacturing PMI fell slightly to **51.4**. In the US, the services sector **rose** with a PMI of **51.2**, while industry continued to expand **significantly** at **53.9**. Another rise in oil prices and uncertainty over the duration of the war in Iran are likely to worsen business prospects, particularly in the Eurozone, in the coming months.



Deutschland und Frankreich mit trüben Aussichten

In Deutschland und Frankreich hat sich die Geschäftslage **im Juni leicht verbessert**, blieb allerdings eingetrübt. Der Dienstleistungs-PMI **stieg** in Deutschland auf **48,6** und in Frankreich auf **46,8**. Die PMIs des verarbeitenden Gewerbes blieben im expansiven Bereich. Die Geschäftslage dürfte sich ohne ein Ende des Krieges im Iran im zweiten Quartal des Jahres weiter verschlechtern.



China: schwache Binnenwirtschaft

Die Einkaufsmanagerindizes für **Juni** 2026 zeichnen ein gemischtes Bild. Der offizielle NBS-PMI, der vor allem größere und binnenorientierte Unternehmen erfasst, lag bei **50,3** in der Industrie und **50,4** im Dienstleistungssektor. Der private, stärker exportorientierte **Caixin-PMI** lag dagegen mit **51,7** (Industrie) und bei **54,1** (Dienstleistungen) weiterhin höher. Die Divergenz spiegelt weiterhin die Schwäche des Binnenmarkts im Vergleich zur Exportwirtschaft wider.

Die Bauaktivitäten erholen sich nicht

Die Zahl der begonnenen Neubauten fiel im März weiter und liegt seit 2022 unter dem Niveau von 2010. Dies spiegelt sich auch in der Zahl der unfertigen und fertiggestellten Immobilien wider, die ebenfalls zurückgingen.

Private Consumption



US: Retail Sales Continue to Rise

Retail sales rose by 7.5% year-on-year in May. The weekly 'Johnson Redbook Retail Sales' index, which tracks sales of department stores and retail outlets, rose sharply and signals strong growth in US retail sales through **mid-July**.



US: Credit Card Debt Rising Slightly Slower

US credit card debt fell slightly in June, but remains high. Since mid-2021, credit card debt has been rising as fast as on average since 2012.



US: Google Searches Point to More Cautious Consumption

Consumption often begins with an internet search. Therefore, online search data is a good leading indicator for private consumption. Search intensity for the term 'restaurant' has been slightly below the average of the last five years in recent weeks, after being higher before. Terms in the 'travel' category have been searched less than the average of the last five years for two weeks, despite the soccer World Cup.

US: The US Savings Rate Remains Low

The US savings rate fell slightly in June and remained significantly below the historical average of 5.2%. In contrast to the Eurozone, US households have largely depleted the excess savings accumulated during the pandemic. At the same time, real disposable income growth has slowed.



Nur die Stimmung der Republikaner bleibt optimistisch

Die Konsumentenstimmung der Amerikaner bleibt im Durchschnitt pessimistisch. Der Consumer Confidence Index des Conference Board liegt auf dem Niveau der Coronakrise. Der Consumer Sentiment Index der Universität Michigan erreichte Werte, wie sie sonst nur in Rezessionen vorkommen. Wie üblich, sind Anhänger der Oppositionspartei pessimistischer. Die Republikaner bleiben dagegen optimistisch.

Energy Spending: US Lower than Eurozone

Historically, household spending on energy in the US was higher than in Europe. With the Covid crisis and the war in Ukraine, however, this relationship has reversed. Until the end of 2024, the share of energy spending in total household spending in Germany and France was higher than in the US. The current oil price shock is likely to reinforce this trend further.



Eurozone & Germany: Household Savings Rate Remains Stable

In contrast to the US, the household savings rate in the Eurozone remained stable and slightly above the historical average. German savings rate also higher than in the rest of the Eurozone.



Google Searches: Consumer Restraint in France and Germany

Google searches for 'restaurant' in Germany and France point to weak and declining private demand. In both countries, search intensity in recent weeks was lower than the average of the last five years for the same season.



Less Caution in Spain than in Italy

While in Spain search intensity for 'restaurant' remained as high as the average of recent years, it was slightly lower in Italy.

China: Sentiment Hardly Improving

In China, consumer confidence recovered slightly in May, but remains historically low. Sentiment in the real estate sector is also depressed. The 'National Real Estate Climate Index' has been declining for three years.



Labor Market



Nominallöhne steigen langsamer

Im **Juni** stiegen die durchschnittlichen Stundenlöhne in den USA um **3,6 %** im Jahresvergleich. Im ersten Quartal 2026 betrug das Lohnwachstum 3,9 % in Deutschland und nur 1,6 % in Frankreich. In Deutschland und in den USA bleibt das Lohnwachstum über dem Durchschnitt von 2011-2019.

US: Wage Growth Normalizing?

Wage growth according to the Indeed Hiring Lab Wage Tracker appears to lead US median wage growth by about seven months. In **June, wages posted in job openings in the US rose by 2.4%**, indicating a stabilization at this level.



USA: Konvergenz des Lohnwachstums

Im **Juni** stiegen die Stundenlöhne in den USA im Durchschnitt um **3,8 %**. Die Lohnzuwächse der einzelnen Lohngruppen nähern sich an: Im niedrigsten Lohnquartil legten die Löhne um **3,6 %** zu, im höchsten Quartil um **3,9 %**. Damit wachsen die höchsten Löhne nicht mehr so viel stärker wie auf dem Höhepunkt 2022.

Der US-Arbeitsmarkt ist weniger angespannt

Die Beveridge-Kurve stellt die Beziehung zwischen der Vakanzquote – die offenen Stellen als Anteil an der Summe aus besetzten und offenen Stellen – und der Arbeitslosenquote dar. Mit der Coronakrise ging die Kurve nach außen, weil aufgrund der Politikmaßnahmen trotz vieler freier Stellen die Arbeitslosigkeit hoch blieb. Die Rigiditäten haben sich wieder abgebaut und die Beveridge-Kurve ist auf das Niveau vor der Coronakrise zurückgekehrt. Die Lage am US-Arbeitsmarkt hat sich also normalisiert.

Job Growth Recovers, but Remains Weak

In **June**, the number of private sector non-farm jobs rose by **0.5%** year-on-year according to the ADP report. The official BLS figures also showed annual growth of **0.6%**. The US labor market remains stable, but job growth is slower than in the years between the financial and COVID crises.



USA: Entlassungen und Jobless Claims im Rahmen

Im **Juni** wurden rund **45.800** Stellenstreichungen angekündigt, **weniger als im Vormonat**. Gleichzeitig **gingen** die wöchentlichen Erstanträge auf Arbeitslosenhilfe zuletzt leicht auf **215.000** zurück und blieben am unteren Rand der Schwankungen der vergangenen drei Jahre.



Nominal Wages Rise Faster in Germany

The Indeed Hiring Lab Wage Tracker shows nominal wages continuing to rise in the Eurozone. In **May**, the rate of change was **2.4%** in the Eurozone, **2.9%** in Germany, **1.2%** in France, and **2.40%** in the US. Only in Germany are wages rising more slowly than in previous months, but they remain at a high level.



Eurozone: Tight Labor Market

The Beveridge curve, which shows the relationship between the vacancy rate and the unemployment rate, points to a tight labor market in the Eurozone. During the Covid crisis, the curve shifted outwards because political measures meant that unemployment remained high despite many job vacancies. In the meantime, these rigidities have largely been reduced and unemployment is at a historically low level. Although the vacancy rate has fallen, it again corresponds to the usual relationship between the two variables.

China: Very High Youth Unemployment

China's unemployment rate moved sideways at 5% in recent months. Youth unemployment (excluding students) **fell slightly to 15.6% in May**.



PREISE



Commodities



Seefrachtkosten für Rohöl und Container steigen

Die Frachtraten für Rohöltanker sind infolge der Blockade der Straße von Hormus auf neue Rekordstände gestiegen. Trotz eines jüngsten Rückgangs liegen sie weiterhin über dem Höchstniveau von 2022 nach Beginn des Ukrainekriegs. Der World Container Index (WCI), der die Frachtraten im Warenhandel abbildet, blieb aufgrund anhaltender Überkapazitäten im Containerschiffbau zunächst auf niedrigem Niveau, ist in den vergangenen Wochen jedoch stark gestiegen.



Backwardation: Declining Oil Prices Expected Again

Oil markets had expected oil prices to stabilize after the announced reopening of the Strait of Hormuz. The difference between futures prices for oil delivery in three months and in one year has recently risen again due to continued uncertainty about the blockade. This 'Backwardation' signals that the current shortage is viewed as temporary. The prices of futures with delivery in one year have risen sharply again in recent days, more than after the start of the war in Ukraine in 2022.

When Will Shipping Through the Strait of Hormuz Normalize?

A reopening of the Strait of Hormuz is crucial for oil supply. **Following the renewed attacks**, prediction markets price in a reopening by the end of July **with only about a 3% probability**. For **the end of December**, the implied probability is **62%**.



European Gas Prices Follow a Similar Path to 2022

Europe remains heavily dependent on imports of oil and gas. After a rapid increase of around 75%, Dutch TTF-Erdgas-Futures with a one-month maturity have recently declined slightly, but remain about 50% above the level of a week before the start of the Iran war. In the 2022 energy crisis, European gas prices had temporarily tripled.



USA



AI-Act

US: Inflation Rate Rises Sharply

In **June**, consumer prices in the US rose less sharply than in the previous month. The Consumer Price Index (CPI) increased by **3.5%** year-on-year, less than expected. Core inflation was **2.6%**, below the median expectations of participants in a monthly Bloomberg survey. The continued sharp rise in the price level is particularly, but not only, due to the oil price shock.

Different Indices Show High Inflation

Inflation is determined using different indices. The CPI measures consumer prices, the PCE index measures household spending, and the GDP deflator measures the prices of all domestically produced economic goods. The rates of change of all three indices reached a peak in mid-2022. In **May 2026**, the inflation rate of the Fed's favored Core PCE index (excluding energy and food) was 3.3%.



Inflation Drivers: Services and Energy

Inflation in services continues to be the dominant driver of US inflation. While the contribution of food prices remains moderately positive, the recent oil price shock continues to have a strong impact: the inflation contribution of energy prices is higher than it has been since 2022 and is driving the overall rate up noticeably again.



US: Rising Inflationary Pressure

In **June**, service prices rose by **3.2%** year-on-year. Food prices continued to rise strongly with an annual rate of change of **2.7%**. Energy prices rose particularly sharply by **15.5%**.



US: Supercore Inflation Rises Again

Supercore is defined as the services price index excluding energy and housing costs. Based on the CPI index, the annual rate of Supercore inflation in **June** was around **3.2%**. Measured by the PCE index, Supercore inflation rose to just under **3.9%** in **May**. This shows that inflation pressure in the services sector remains high even without energy and housing costs.



Rent Growth No Longer Falling

Housing costs make up a large part of service prices in the CPI and are also strongly correlated with owner-occupied housing costs. During the Covid years, the Zillow rent index for new leases was a good leading indicator of rent trends, as existing rents react more sluggishly. Currently, the Zillow rent index with around **1.9%** signals slower rent growth than the rebounding CPI rent index with around **3.1%**.



US: Inflation Could Rise Further

The price index in the ISM Services PMI leads consumer price inflation by about six months. In **June, the ISM price index fell slightly**, but remains at an elevated level.



Eurozone



Steigende Inflation in der Eurozone

Im **Juni** stieg der HVPI der Eurozone im Jahresvergleich um **2,8 %**, die Kerninflation lag bei **2,4 %**. In Deutschland (**2,4 %**), Frankreich (**2 %**), Italien (**3,1 %**) und Spanien (**3,6 %**) lag die Inflation im **Juni** über der Zielmarke von 2 %.

Verteuerung von Dienstleistungen und Energie

Bis Ende 2022 trugen vor allem Energie- und Lebensmittelpreise zur Inflation bei. Derzeit wird die Teuerung überwiegend von steigenden Dienstleistungspreisen getrieben, in geringerem Maß auch von Lebensmitteln und erneut von Energie. Zwischenzeitlich wirkten die Energiepreise jedoch über mehrere Monate dämpfend auf die Inflation.

Inflation Expectations



Volatile Inflationserwartungen der Konsumenten

Im **Juni** 2026 lagen die Inflationserwartungen der US-Konsumenten für die nächsten zwölf Monate bei **4,6 %** (Universität Michigan) und **3,7 %** (New York Fed). In der Eurozone erwarteten die Haushalte im **Mai** laut EZB im Median **3,5 %** für das kommende Jahr und **2,9 %** für die nächsten drei Jahre.

Energy Becomes More Expensive Again ...

Volatile food and energy prices are excluded to isolate the underlying development of inflation. However, it is precisely these prices that are crucial for the perception of purchasing power and voting behavior. After the sharp rise in 2021, energy prices have stabilized, but food prices continue to rise. The war in Iran has now driven energy costs up again: in the US, they are **24%** above the level before Trump's election (Nov. 2024), while in the Eurozone, they are **7%**.

... was die politische Stimmung belasten dürfte

Im November 2026 werden das gesamte Repräsentantenhaus und 35 der 100 Sitze im Senat neu gewählt. In den Prognosemärkten ist eine republikanische Mehrheit im Repräsentantenhaus derzeit nur mit 17 % eingepreist. Für den Senat ist die Wahrscheinlichkeit zuletzt wieder gestiegen und liegt aktuell bei rund 56 %.

China: Deflationssorgen

Die chinesische Inflationsrate lag seit Mitte 2023 unter 1 %. Im **Juni** betrug sie **1,0 %**, die Kerninflation lag bei **1,0 %**. Dies unterstreicht die schwache wirtschaftliche Dynamik des Landes.

ZINSERWARTUNGEN & FISKALIMPULS

US: Rising Real Interest Rate

The real interest rate is the difference between the nominal rate and (expected) inflation. While the nominal interest rate can be read from the market, an estimate must be used for expected inflation. Depending on the chosen approach, the (expected) real interest rate for the US economy currently lies in positive territory between 0.3% and 1.5%. Alternatively, the yield on inflation-indexed government bonds (TIPS in the US) can be read from the market. For a maturity of two years, the real interest rate has been positive since April 2022 and recently rose to around 2.1%.



Volatile Interest Rate Expectations

The futures markets are pricing in at least one 25 basis point rate hike by the Fed by December 2026, and at most one more 25 basis point hike by July 2027. In the Eurozone, further interest rate hikes totaling 50 basis points are priced in by July 2027, with 25 basis points already expected by the end of 2026. The expected interest rate level in Europe nevertheless remains significantly below that of the US.



China: Expansive Geldpolitik

Die chinesische Zentralbank steuert ihre Geldpolitik vor allem über drei Instrumente: den 7-Tage-Reverse-Repo-Satz, die einjährige Loan Prime Rate (LPR) der Geschäftsbanken und den Mindestreservesatz (RRR). In den vergangenen Jahren hat sie alle drei Sätze mehrfach gesenkt, um mehr Liquidität bereitzustellen und damit über Kreditexpansion die Konjunktur zu stützen. Für 2026 signalisiert sie eine weiterhin moderat lockere Geldpolitik.

Moderate Fiscal Impulses for 2026

The latest IMF estimates have changed the picture for China in 2026 in particular. Instead of a previously expected neutral fiscal impulse, a strong positive impulse is now projected, driven by extensive government measures to support domestic demand. In the US, the fiscal impulse was negative in 2024 and 2025, but a slight easing is expected for 2026. In the Eurozone, the positive fiscal impulse shifts from 2025 to 2026, as in particular the German armaments and infrastructure program will only take effect with a delay.

Economic Forecast 2026

Our growth forecast for 2026 is based on a qualitative assessment of economic momentum, the growth effect of fiscal policy, and financing conditions, including monetary policy. These forecasts are to be understood as guidelines and not as precise point predictions.

	Momentum	Fiscal Policy	Financing	FvS-RI GDP	BBG Consensus
USA	0	+	-	2.0%	2.1%
China	0	+	0	4.6%	4.6%
Eurozone	-	+	-	0.6%	0.8%
Germany	-	+	-	0.4%	0.6%

USA: Stable consumption, a solid labor market situation, and slower wage increases support the unchanged positive momentum. Fiscally, no budget consolidation is planned. Rather, the course remains expansionary. Monetarily, interest rate increases are expected again by the end of the year. The war in Iran increases uncertainty and recession risk.

China: The continuing weakness of the real estate sector weighs on domestic demand. Industry stabilizes the economy via exports, but in particular via subsidies, which points to overcapacities and has a deflationary effect. Slight positive impulses are to be expected from fiscal and monetary policy.

Eurozone / Germany: The negative momentum in Germany and the Eurozone due to the impact of the oil price shock on demand and industry is partially offset at the European level by stronger growth in Spain and Italy. In particular, Spain remains resilient. Debt-financed economic programs are likely to provide an impulse in 2026. Without deregulation, however, German infrastructure and armaments investments are likely to have only a weak effect. Rising oil and gas



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